Political Economy of Mass Media: Topics and Methods

Instructor: Ruben Durante (ICREA, Universitat Pompeu Fabra, Barcelona GSE)
Day and Time: TBD
Location: TBD
Office hours: TBD

Course objective

The course introduces students to the growing body of literature on the political economy of (traditional and new) media. The course will focus primarily on empirical work and will be organized around a series of topics including: i) the effect of mass media on electoral competition, policies, and non-political outcomes; ii) the definition, measure and determinants of media bias; iii) the impact of the Internet, social media and search engines on competition and consumer behavior. Through applications to actual research questions in economics, finance, and marketing, the course also provides an introduction to text analysis methods ranging from classical content analysis and dictionary-based methods, to classification methods, scaling methods, and topic models.

Main readings

In addition to the course lecture slides, the course will rely heaving on the following readings:

- Anderson, S., Stromberg, D., Waldfogel, J., 2015, *Handbook of Media Economics*, vol. 1B, Elsevier.
- Stromberg, D., 2015, *Media and Politics*, Annual Review of Economics, 7.
- Prat, A. and D. Stromberg, 2013, *The Political Economy of Mass Media*. Advances in Economics and Econometrics, Cambridge University Press.
- Islam, R., 2010, *Information and Public Choice: From Media Markets to Policy Making*, World Bank Publications, Washington, DC.
- Manning, C. D., Raghavan, P., and Shutze, H., 2008, *An Introduction to Information Retrieval,* Cambridge University Press.
- Gentzkow, M., Kelly, B. T., and Taddy, M., 2017, *Text as Data*. NBER Working Paper #23276.
- Grimmer, J. and Stewart, B., 2013, *Text as Data: The Promise and Pitfalls of Automatic Content Analysis Methods for Political Texts*, Political Analysis, vol. 21, n. 3, pp. 267-297.
- Bird, S., E. Klein, and Loper E., *Natural Language Processing with Python*, available at nltk.org/book
- Krippendorff, K., 2013, *Content Analysis: An Introduction to Its Methodology*, Sage.

Assessment

This is an advanced research-oriented course. Grades will be based of the following four components:

1. Class participation (10% of the grade): all students are expected to attend and actively participate in all classes and to read the assigned material before each class.

2. Leading class discussion (20%): once during the course each student (or group of students) is expected to prepare a 15-20-minute presentation of one of the readings assigned for that class and will lead the discussion of the paper. The discussion should focus on the paper's contribution and empirical methodology (including limitations and possible improvements), and on its relationship with other course readings.

3. Reaction papers (20%): five times during the semester (when not leading the class discussion) each student will write a one-page comment of one of the papers assigned for that session. The reaction paper has to be e-mailed by 7 pm the day before the class to the instructor and to the other students who are expected to read it prior to the class.

4. Research proposal (50%): by the end of the course each student will write a 5-to-10-page research proposal. The proposal should describe a research idea related to one of the topics covered in class. It should include a survey and critical discussion of the relevant related literature, a detailed discussion of the empirical approach, a description of the primary data source(s) and, ideally, the description of some preliminary results.

Schedule

1. Introduction: the role and functioning of mass media

Anderson et al. (2015), chapter 13

Prat-Stromberg (2013)

Islam (2010)

Hamilton, J. T. (2004), All the News That's Fit to Sell. How the Market Transforms Information into News, Princeton University Press, Princeton, NJ.

2. The impact of mass media on electoral competition

Gentzkow, M. (2006), Television and Voter Turnout, Quarterly Journal of Economics 121(3): 931-972.

DellaVigna, S. and E. Kaplan (2007), The Fox News Effect: Media Bias and Voting, Quarterly Journal of Economics 122(3): 1187-1234.

Enikolopov, R., Petrova, M., and E. Zhuravskaya (2011), Media and Political Persuasion: Evidence from Russia, American Economic Review 101(7): 3253-3285.

Gerber, A., D. Karlan and D. Bergan (2009), Does the Media Matter? A Field Experiment Measuring the Effect of Newspapers on Voting Behavior and Political Opinions, American Economic Journal: Applied Economics 1(2): 35-52.

Gerber, A., Gimpel, J., Green, D. and D. Shaw (2011), How Large and Long-lasting Are

the Persuasive Effects of Televised Campaign Ads? Results from a Randomized Field Experiment, The American Political Science Review 105(1): 135-150.

George, L. M. and J. Waldfogel (2006), The New York Times and the Market for Local Newspapers, American Economic Review 96(1): 435-447.

Durante, R., P. Pinotti and A. Tesei (2018), The Political Legacy of Entertainment TV, American Economic Review, forthcoming.

3. The impact of mass media on policy

Besley, T. and R. Burgess (2002), The Political Economy of Government Responsiveness: Theory and Evidence from India. Quarterly Journal of Economics 117(4): 1415-1451.

Snyder, J. M. and D. Strömberg (2010), Press Coverage and Political Accountability, Journal of Political Economy 118(2): 355-408.

Eisensee, T. and D. Strömberg (2007), News Droughts, News Floods, and U. S. Disaster Relief, Quarterly Journal of Economics, 122(2): 693-728.

Strömberg, D. (2004a), Mass Media Competition, Political Competition, and Public Policy, Review of Economic Studies, 71(1): 265-284.

Strömberg, D. (2004b), Radio's Impact on Public Spending, Quarterly Journal of Economics 119(1): 189-221.

Besley, T. and A. Prat (2006), Handcuffs for the Grabbing Hand? Media Capture and Government Accountability, American Economic Review, 96(3): 720-736.

Durante, R. and E. Zhuravskaya (2018), Attack When the World Is Not Watching? US News and the Israeli-Palestinian Conflict, Journal of Political Economy 126(3): 1085-1133.

Durante, R. and M. Djourelova (2018), Media Attention and Political Timing: Evidence from Executive Order Signings, Working paper.

4. The impact of mass media on non-political outcomes

Yanagizawa-Drott, D. (2012), Propaganda and Conflict: Theory and Evidence from the Rwandan Genocide, Harvard Kennedy School, Working Paper.

Olken, B. (2009), Do Television and Radio Destroy Social Capital? Evidence from Indonesian Villages, American Economic Journal: Applied Economics 1(4): 1–33.

Chong, A. and E. La Ferrara (2009), Television and Divorce: Evidence from Brazilian *Novelas*, Journal of the European Economic Association 7(2-3): 458–468.

Jensen, R. and E. Oster (2009), The power of TV: Cable Television and Women's Status in India, Quarterly Journal of Economics 124(3): 1057–1094.

Bursztyn, L. and D. Cantoni (2016), A Tear in the Iron Curtain: the Impact of Western Television on Consumption Behavior, Review of Economics and Statistics 98(1): 25-41.

Engelberg, J. E. and C. A. Parsons (2011), The Causal Impact of Media in Financial Markets, Journal of Finance 66(1): 67-97.

5. Measuring media bias

Groseclose, T., and J. Milyo (2005), A Measure of Media Bias, Quarterly Journal of Economics 120(4): 1191–1237.

Larcinese, V., R. Puglisi, and J. M. Snyder (2007), Partisan Bias in Economic News: Evidence on the Agenda-Setting Behavior of U.S. Newspapers, Journal of Public Economics 95(9): 1178-1189.

Puglisi R. (2011), Being the New York Times: The Political Behavior of a Newspaper, The B.E. Journal of Economic Analysis & Policy 11(1): 1-34.

6. The determinants of media bias

McMillan, J. and P. Zoido (2004), How to Subvert Democracy: Montesinos in Peru, Journal of Economic Perspectives 18(4): 69-92.

Reuter, J. and E. Zitzewitz (2006), Do Ads Influence Editors? Advertising and Bias in the Financial Media, Quarterly Journal of Economics 121(1): 197-227.

Di Tella, R. and I. Franceschelli (2011), Government Advertising and Media Coverage of Corruption Scandals, American Economic Journal: Applied Economics 3(4): 119-151.

Beattie, G, R. Durante, B. Knight, and A. Sen (2017), Advertising Spending and Media Bias: Evidence from News Coverage of Car Safety Recalls, NBER Working Paper n. 23940.

Gentzkow, M. and J. M. Shapiro (2006), Media Bias and Reputation, Journal of Political Economy 114(2): 280-316.

Mullainathan, S. and A. Shleifer (2005), The Market for News. American Economic Review 95(4): 1031-1053.

Dellavigna, S. and J. Hermle (2017), Does Conflict of Interest Lead to Biased Coverage? Evidence from Movie Reviews, The Review of Economic Studies, vol. 84, n. 4, pp. 1510-1550.

7. Behavioral and cognitive responses to media slant

Durante, R. and B. Knight (2012), Partisan Control, Media Bias, and Viewer Responses: Evidence from Berlusconi's Italy, Journal of the European Economic Association 10(3): 451-481.

Chiang, C.-F. and B. Knight (2011), Media Bias and Influence: Evidence from Newspaper Endorsements, Review of Economic Studies (2011) 78, 795–820.

DellaVigna, S. and M. Gentzkow (2010), Persuasion: Empirical Evidence, Annual Review of Economics 2(1): 643-669.

8. Internet, social media, search engines

Athey, S., E. Calvano and J. S. Gans (2013), The Impact of the Internet on Advertising Markets for News Media, NBER Working Paper #19419.

Sunstein, C. R. (2001), The Daily We. Is the Internet Really a Blessing for Democracy? Boston Review Summer 2001: 4-9.

Gentzkow, M. and J. Shapiro (2011), Ideological Segregation Online and Offline. Quarterly

Journal of Economics, 126 (4): 1799-1839.

Durante R., F. Campante and F. Sobbrio (2013), Politics 2.0: The Multifaceted Effect of Broadband Internet on Political Participation, Journal of the European Economic Association, 16(4): 1094-1136.

Flaxman, S., Goel, S. and J. Rao (2016), Filter Bubbles, Echo Chambers, and Online News Consumption, Public Opinion Quarterly 80: 298–320.

King G.J, Pan J. and M. Roberts (2013), How Censorship in China Allows Government Criticism but Silences Collective Expression, American Political Science Review 107(2): 326-343.

Allcott, H., L. Braghieri, S. Eichmeyer, and M. Gentzkow (2019), The Welfare Effects of Social Media", NBER Working Paper n. 25514.

9. Applications of text analysis and machine learning to research

Hassan, T., S. Hollander, L. van Lent, and A. Tahoun (2018), Firm-Level Political Risk: Measurement and Effects, Working Paper.

Bandiera, O., Hansen S., Prat A., and Sedun, R. (forthcoming), CEO Behavior and Firm Performance, Journal of Political Economy.

Hansen S. and McMahon M., (2016), Shocking Language: Understanding the Macroeconomic Effects of Central Bank Communication, Journal of International Economics, 38th NBER International Seminar on Macroeconomics: S114-S133.

Gentzkow, M. and J. M. Shapiro (2010), What Drives Media Slant? Evidence from U.S. Daily Newspapers, Econometrica, vol. 78, n. 1, pp. 35-71.

Baker, S. R., Bloom, N., and Davis, S. J. (2016), Measuring economic policy uncertainty, Quarterly Journal of Economics, vol. 131, n. 4, pp. 1593-1636.

Soto, P. (2018), Breaking the Word: Effects of verbal uncertainty on banks behavior, Working paper.

Loughran, T., and McDonald, B. (2011), When is a liability not a liability? Textual analysis, dictionaries, and 10-Ks, Journal of Finance, vol. 66, n.1, pp. 35-65.

Hoberg, G., and Phillips, G. (2010), Product market synergies and competition in mergers and acquisitions: A text-based analysis, Review of Financial Studies, 23(10), 3773-3811.